Mine 2 — Strategy Implications for Each Board Option

Option A — Sell Mine 2 to a new owner

What this option means: Diamante finds a buyer and sells Mine 2 as a working mine (the same route it took with the Botswana mine), so the mine's assets, its people and its clean-up duties all pass to the new owner, and Diamante is left with only Mine 1.

Fit with Diamante's "quality over quantity" strategy	Selling Mine 2 lets Diamante put its limited cash and management time into Mine 1, which produces the larger, premium stones the market still wants. Mine 2 mainly produces smaller commercial stones, which are the ones lab-grown diamonds have hurt the most, so letting it go sharpens the focus onto the stronger part of the business.
Cash flow and going concern (survival)	A sale could bring in some cash, and it removes a mine that is draining cash, which helps the urgent liquidity problem. However, the Botswana sale showed that buyers for weak diamond mines are rare and may pay little upfront or only from future profits, so the cash that actually comes in may be small or uncertain.
Refinancing, lenders and shareholders	Removing a loss-making mine and its liabilities makes the balance sheet simpler and cleaner, which usually helps the bank support the refinancing. Shareholders A and B, who are backing the refinancing, are likely to support anything that protects it.
Revenue, product mix and market position	Mine 2 is about a third of mine revenue, so selling it makes group revenue drop sharply and turns Diamante into a smaller, single-product producer of premium stones. This concentrates the business on the resilient end of the market but gives up the safety of having two different products.
Cost base and efficiency	The sale removes Mine 2's running costs, its ongoing capital spending and its clean-up funding, which improves the overall cost efficiency and the cost per carat of what remains.
Capital needed and funding	No more capital has to be spent on Mine 2, which frees scarce cash for Mine 1's development blocks; but a rushed, distressed sale in a weak market may realise very little value.
Flexibility and keeping options open	A sale is permanent. Management itself calls the diamond market "ripe for recovery", so if prices rebound, Diamante gives up all of Mine 2's future upside, and it cannot buy the mine back once it is gone.
Risk	Selling passes the price, lab-grown, geology and clean-up risks to the buyer, which lowers Diamante's risk. But it leaves the whole company depending on a single mine, so a problem at Mine 1 would then hit everything.
People, community and social licence	A sale to a buyer who keeps the mine running usually protects jobs and community relations, which protects Diamante's "social licence" to operate — important because Diamante lists community unrest as a real risk.
Environment and rehabilitation	If the buyer legally takes over the clean-up duty, Diamante removes a large future liability. As with Botswana, though, Diamante must make sure it is genuinely released and not left with hidden residual duties or guarantees.

WHAT WE (AS NEWLY QUALIFIED CA(SA)) SHOULD NOTE FOR MANAGEMENT — QUALITATIVE

- Check the buyer can actually pay, and be sceptical of a deferred or nil-value price that mainly creates an accounting gain rather than real cash (the Botswana lesson).
- Confirm in writing that the rehabilitation duty truly transfers, so Diamante is not left with a hidden liability.
- Get an independent valuation, and if the buyer is a connected party watch the JSE related-party rules.

Conclusion: Selling is the cleanest way to focus Diamante on its stronger Mine 1 and it supports survival — but only if a credible buyer pays real value and genuinely takes on the clean-up duty. Given the Botswana experience, that is a big "if", so management should test the market but not assume a good price.

Option B — Close and abandon Mine 2

What this option means: Diamante permanently stops mining Mine 2, shuts it down and starts rehabilitating the land, because no buyer can be found or the mine cannot be run economically again.

Fit with Diamante's "quality over quantity" strategy	Closing removes the weakest, small-stone mine and concentrates on premium Mine 1, which fits the strategy — but it is the most final and most value-destroying way to do it, because nothing is recovered from a sale.
Cash flow and going concern (survival)	Closure stops the ongoing cash drain, but it triggers large cash payments NOW — staff retrenchment costs and the rehabilitation and closure spend — at exactly the time Diamante has no spare cash and is trying to refinance. This is the worst option for short-term survival.
Refinancing, lenders and shareholders	Big closure and retrenchment costs and a write-off could worry the bank during the refinancing. Shareholders are likely to dislike destroying value and receiving nothing in return, although some may see removing a loss-maker as decisive.
Revenue, product mix and market position	Diamante loses the same third of revenue as a sale and becomes a single-product premium producer, but with no proceeds and no business handed over — the value is simply lost.
Cost base and efficiency	Long-run running costs fall, but the closure itself is expensive, and the mine's assets are written off faster once it is idle and then closed.

Capital needed and funding	No more mining capital is needed, but the clean-up must be funded now, competing directly with Mine 1's needs and the refinancing for scarce cash.
Flexibility and keeping options open	Closure is effectively permanent. Once the shafts are sealed and the plant is taken apart, Diamante cannot benefit if diamond prices recover, so all of Mine 2's future upside is thrown away.
Risk	It removes ongoing running and price risk, but it forces Diamante to pay for the clean-up now and still leaves single-mine concentration risk. Safely closing a deep mine also carries its own execution risk.
People, community and social licence	This is the most damaging option for people. Job losses and community impact are immediate and permanent, which risks the unrest Diamante lists as a real threat and can harm the social licence for Mine 1 as well.
Environment and rehabilitation	Diamante must fund and carry out full rehabilitation now (a real cash and legal duty). Doing it properly protects the licence for the remaining operations, but it is a heavy near-term cost.

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- This is the most cash-hungry and socially damaging option in the short term, so it should be a last resort.
- Make sure the rehabilitation provision is realistic and funded, and consider closing in phases to spread the cost.
- Engage workers, unions and communities early to manage the fallout and protect the social licence for Mine 1.

Conclusion: Abandonment gives the cleanest long-term focus but is the worst choice for immediate cash, for people and for reputation, and it destroys any chance of benefiting from a price recovery. For a company fighting to refinance, it should be the last resort — chosen only if no buyer exists and the mine cannot even be safely paused.

Option C — Care and maintenance (pause and mothball the mine)

What this option means: Diamante pauses mining at Mine 2 but keeps it safe, pumped and maintained so it can be restarted later, instead of selling or closing it — a common "wait out the downturn" approach in mining.

Fit with Diamante's "quality over quantity" strategy	This keeps the door open on Mine 2 while Diamante puts its cash into premium Mine 1, and it fits a "wait for the market to recover" view — which matches management's own belief that the market is "ripe for recovery". It avoids a forced, value-destroying decision made at the bottom of the cycle.
Cash flow and going concern (survival)	It stops most of the running cash drain (no active mining) while avoiding the big one-off closure and retrenchment payments, so it is gentler on short-term cash than closing. It still costs some money to keep the mine safe and maintained, but far less than shutting it down.
Refinancing, lenders and shareholders	It avoids a large write-off or closure cost during the refinancing and keeps an asset that could recover, which lenders and shareholders usually prefer to simply destroying value.
Revenue, product mix and market position	Mine 2's revenue pauses (the roughly one third is lost for now) but it is not gone for good, so Diamante can switch it back on to catch a price recovery and keep its two-product mix in future.
Cost base and efficiency	Holding costs (security, pumping, maintenance) are paid for no production, which looks inefficient and drags on reported results. Because depreciation is based on how much is mined, the charge falls to almost nothing while idle, which itself needs to be explained in the accounts.
Capital needed and funding	No major new mining capital is needed, but the holding costs and the still-standing clean-up duty remain — cheaper than closure now, but a slow ongoing drain that must be watched.
Flexibility and keeping options open	This is the most flexible option: it keeps the choice to restart if prices recover, to sell later into a better market, or to close later if recovery never comes. That flexibility is genuinely valuable in an up-and-down diamond market.
Risk	Diamante keeps its exposure to weak prices and lab-grown competition (it is betting on a recovery) and keeps paying holding costs, and it only delays the clean-up rather than removing it. But it avoids locking in losses now and keeps more options than a sale or closure.
People, community and social licence	Some jobs are suspended or lost, which is still hard, but it is less final than closure and signals an intention to return, which is better for community relations and the social licence.
Environment and rehabilitation	The clean-up duty stays with Diamante and the idle site must be kept environmentally safe, but no big rehabilitation cash payment is triggered right now.

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- This is the most flexible and least cash-destructive option now, and it fits the "ripe for recovery" view, so it buys time through the refinancing.
- Because it is a bet on recovery, set a clear review date and a trigger (for example a diamond-price level) rather than letting the pause drift on forever.
- Monitor the ongoing holding costs and be ready to explain the near-zero depreciation charge in the accounts.

Conclusion: Care and maintenance is usually the best fit for Diamante right now — it protects immediate cash, keeps the recovery upside and buys time through the refinancing, at the cost of ongoing holding costs and a postponed decision. It suits a cyclical market that management believes will recover, as long as it is reviewed against a clear trigger and not left open indefinitely.

Overall recommendation across the three options

Ranked for Diamante's position (loss-making, refinancing, capital-short, but in a market it believes will recover): **1st — Care and maintenance** (best for cash now and keeps the recovery upside), **2nd — Sell** (only if a credible buyer pays real value and takes the clean-up duty), **3rd — Close/abandon** (last resort, worst for cash, people and value).

The decision also drives the accounting, so the two must be considered together: a sale or closure needs the held-for-sale / discontinued-operation treatment, while care and maintenance keeps the mine in property, plant and equipment as an impairment warning sign — the strategy choice and the numbers cannot be separated.